

Consulting Guesstimate

Estimate the Annual Revenue Opportunity for 5G Fixed Wireless Access (FWA) Services in India

1. Case

You are a consultant advising a telecom operator planning to expand its 5G Fixed Wireless Access (FWA) business in India. Estimate the annual revenue opportunity from FWA services. State your assumptions clearly.

2. Clarifying Questions

- Should the estimate cover only residential users? (Assume yes.)
- Should the analysis be for the current Indian market? (Assume current year.)
- Should revenue include only subscription fees? (Assume yes.)

3. MECE Approach

Population → Households → Addressable Households → FWA Adoption → Paying Subscribers → Average Monthly Revenue per User (ARPU) → Annual Revenue

4. Assumptions

Parameter	Assumption
Population	1.43 Billion
Average household size	4.5 persons
Total households	≈318 Million
Urban & semi-urban households	45% = 143 Million
Households suitable for FWA	35% = 50 Million
Adoption rate	20%
Paying subscribers	10 Million
Monthly ARPU	₹700

5. Step-by-Step Estimation

Total Households = $1.43\text{B} \div 4.5 \approx 318\text{M}$

Urban/Semi-urban Households = $318\text{M} \times 45\% \approx 143\text{M}$

Technically Addressable = $143\text{M} \times 35\% \approx 50\text{M}$

Likely Subscribers = $50\text{M} \times 20\% = 10\text{M}$

Annual Revenue = $10\text{M} \times ₹700 \times 12 = ₹84,000 \text{ Million} = ₹8,400 \text{ Crore per year.}$

6. Sensitivity Analysis

Scenario	Adoption	ARPU	Annual Revenue
Conservative	15%	₹650	₹5,850 Cr
Base Case	20%	₹700	₹8,400 Cr
Optimistic	25%	₹800	₹12,000 Cr

7. Final Recommendation

Based on the assumptions, the addressable annual revenue opportunity is approximately ₹8,400 crore. A telecom operator should initially focus on dense urban and semi-urban clusters where fiber penetration is low but 5G coverage is strong. Bundling FWA with OTT subscriptions and enterprise plans can further improve ARPU and customer retention.